

432A

JUDGMENT

DAMAGE

BUILDING OF HOUSE

SUBJECTS OF INSTANTIAL WALL

IN THE SUPREME COURT OF JUDICATURE.

COURT OF APPEAL.

HOUSE BUILT ON RUBBISH TIP

Royal Courts of Justice,

Friday, 17th December, 1971.

CLAIM £2,240 COST OF

REPAIR AND £500 DIMINUTION IN VALUE

Appeal by second defendants from judgment of Mr. Justice Cusack

on 7 April, 1971.

CLAIM SETTLING AGAINST FIRST DEF. FOR £625

Before

THE MASTER OF THE ROLLS (Lord Denning),

LORD JUSTICE SACHS and

LORD JUSTICE STAMP.

Between

SAIDEE DUTTON (Widow)

Plaintiff

and

BOGNOR REGIS UNITED BUILDING COMPANY LIMITED

First Defendant

and

BOGNOR REGIS URBAN DISTRICT COUNCIL

Second Defendant
Appellant

APPEAR OF SECOND DEF.

SUBMITTED

LEAVE UPON CONDITIONS

SEE AS TO PAYMENT OUT

IN THE SUPREME COURT OF JUDICATURE.

A COURT OF APPEAL.

Royal Courts of Justice.

Friday, 17th December, 1971.

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on 7 April, 1971.

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C THE MASTER OF THE ROLLS (Lord Denning),
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Between

D SAIDEE DUTTON (Widow) Plaintiff
and

BOGNOR REGIS UNITED BUILDING COMPANY LIMITED First Defendant
and

E BOGNOR REGIS URBAN DISTRICT COUNCIL Second Defendant
Appellant

(Transcript of the Shorthand Notes of The Association of Official
Shorthandwriters, Ltd., Room 392, Royal Courts of Justice, and
2, New Square, Lincoln's Inn, London, W.C. 2.)

F Mr. NORMAN TAPP, Q.C., and Mr. JAMES DAVIS (instructed by Messrs.
Doyle Devonshire Box & Co., agents for Messrs. Sparrow &
Sparrow of Bognor Regis) appeared on behalf of the Appellant
Second Defendant.

G Mr. JOHN WOOD, Q.C., Mr. PHILIP ROSSDALE and Miss COCKBURN
(instructed by Messrs. Woodham, Smith Borradaile & Martin)
appeared on behalf of the Respondent Plaintiff.

H -----
- J U D G M E N T -

THE MASTER OF THE ROLLS: In Bognor Regis there was years ago a
A rubbish tip. It was filled in and the ground made up so that
it looked like the land next to it. You would not have known
there had ever been a rubbish tip there.

B In 1958 a builder, Mr. Holroyd (who called himself the
United Building Company), bought all the land in that area and
proposed to develop it as a housing estate. He called it the
Gossamer Estate, and laid it out in roads and plots. One of
C the plots was on the site of the old rubbish tip. It was plot
No. 28, St. Richard's Way. Mr. Holroyd employed a local
surveyor - Mr. Lewis - to make plans and apply for planning
permission: and also, of course, for bye-law approval.

D On 16th October, 1958, Mr. Holroyd's surveyor submitted the
plans. It was quite a straightforward plan, showing the house
with normal foundations for the type of soil usually found in
Bognor Regis. On 23rd October, 1958, the Bognor Regis Urban
District Council gave bye-law approval in their printed form.
E Their Engineer and Surveyor sent formal approval to Mr.
Holroyd's surveyor:-

F "I hereby give you notice that the plans of proposed
work, viz., detached house and garage, situate in Plot 28,
St. Richard's Way, for W. Holroyd, Esq., which has been
deposited by you in accordance with building bye-laws
with the local authority, has been passed.

The passing of the plan operates as an approval thereof
only for the purposes of the requirements of the bye-laws
and of Sections 37, 61, 63, 64 and 65 of the Public Health
Act, 1936.

G Dated this 23rd day of October, 1961.

E. B. Williams,

Engineer and Surveyor."

H Note: All foundations and drains must first be examined
by the Surveyor before being covered up.

No new premises to be occupied before being certified
by the Surveyor. The accompanying Notice Forms are to be
filled up and returned to the Surveyor as the work
proceeds, and when completed."

Together with that form, there were sent to Mr. Holroyd's surveyor a batch of notice forms for him to notify the Council's Surveyor of the progress of the work.

That bye-law approval was followed by planning permission. This was sent on 11th November, 1958, by the Clerk to the Council to Mr. Holroyd's surveyor. It said:-

"The Council, on behalf of the West Sussex County Council, hereby permit the following development, that is to say, Detached House and Garage, Plot 28, St. Richard's Way, Gossamer Estate, Aldwick, for W. Holroyd, Esq. in the terms of, and subject to compliance with, the details specialised in the plan and application submitted to the Council on 16th October, 1958."

Having thus got the necessary approval, Mr. Holroyd, in 1959, started work on plot 28. He dug the trenches for the foundations. When he got down about two feet, he came upon the remains of the old rubbish tip, broken glass, tins, and black slimy sludge. So he made the outer trench 3'6" deep, which is much deeper than usual; and he reinforced the concrete floor with a steel mesh. But he did not bother much about the inner walls. He notified the Council that the trenches were ready for inspection. The Council sent a building inspector, Mr. Griffiths, to inspect them. He came, and passed them. Mr. Holroyd then filled in the trenches with concrete and built up to damp-course level. The Council's Surveyor came, and passed the work at that stage, too. The house was finished towards the end of 1959.

Early in 1960 Mr. Holroyd, the builder, sold the house to a Mr. Clark. He was in it only for a few months. Then, in December, 1960, he put the house up for sale again. Mrs. Dutton went to see it. She liked it. She noticed a crack on the wall of the stairs. The agents told her: "It's nothing. It's settlement. It's a new house, and you always have settlement." She did not herself employ a surveyor, because it was a new

A house. But, to buy it, she borrowed money from a building society and their surveyor passed it. She signed the contract on 19th December, 1960. She moved in on 11th January, 1961. The deed of conveyance was dated 20th January, 1961.

B Soon afterwards, when Mrs. Dutton had only been in a month or two, she became alarmed. The walls and ceiling cracked, the staircase slipped, the doors and windows would not close. She called in a surveyor, Mr. Southall. In September 1961 he diagnosed the trouble. It was due to the subsidence of an internal wall. This was because that wall had inadequate foundations. The conditions got worse. Mrs. Dutton had not much money. She could not afford to put it right. It would cost £2,000, even in 1962, plus surveyor's fees of £240. So it got worse and worse. In 1963 she went to solicitors. They called in an expert surveyor - Mr. Carpenter. He had trial holes dug. He found out that the house had been built on a rubbish tip. He said that, at the time when the house was built, this could have been easily seen.

E On 28th February, 1964, Mrs. Dutton issued a writ against the builder, Mr. Holroyd, and the Bognor Regis Urban District Council. Her total damage was £2,740 (being as to £2,240 for cost of repair and £500 diminution in value). The builder, by his insurance company, claimed that he was exempted entirely from liability by the decision of Bottomley v. Bannister (1932) 1 K.B. 459; and Otto v. Bolton (1936) 1 K.B. 45. On that account Mrs. Dutton settled the claim against the builder for £625. But Mrs. Dutton went on against the Bognor Regis Urban District Council. She alleged that their building inspector was negligent in passing the foundations. The Council did not call any evidence to deny this. Their building inspector had left and gone to Australia. The Judge found that the Council's Inspector

was negligent. He said: "I find that it should have been
A detected. The strength of the foundations should be related
to the nature of the ground. The distinction between building a
house upon rock and building a house upon sand has been widely
known for many centuries."

B The Judge gave judgment in favour of Mrs. Dutton for
£2,115 (being the full sum of £2,740, less £625 recovered
against the builder). The Council appeal to this Court.

C Never before has an action of this kind been brought
before our Courts. Nor, so far as we can discover, before the
Courts of any other countries which follow the common law. It
raises issues of far-reaching importance. In these days much
work is subject to inspection to see that it is done properly.
D The inspector is usually the servant of a public authority. If
the inspector negligently passes bad work, is the inspector
liable himself? and also the authority which employs him? We
E have been treated to a wide-ranging argument well presented on
both sides. Many points have been canvassed. In the end it
will be found to be a question of policy which we, as Judges,
have to decide. But, before we come to it, I must deal with
F several preliminaries.

2. BUILDING BYE-LAWS AND REGULATIONS

At the time when this house was built, the work was subject
to the Public Health Act, 1936, and the bye-laws made under it by
G the Bognor Regis Council. The bye-laws were in standard form and
could not be relaxed except with the consent of the Minister.
Bye-law No. 18 dealt expressly with foundations. It said:

H "The foundations of every building shall be so
designed and constructed as to sustain the loads of
the building and to transmit these loads to the ground
in such a manner that the pressure on the ground shall
not cause such settlement as may impair the stability
of the building or any part of the building."

A It is plain that the builder in this case failed to comply with that bye-law. He did not construct the foundations properly. They were not strong enough to take the load of the house.

B Bye-law No. 6 required the builder to furnish the Council "with not less than 24 hours' notice in writing before the covering up of any drain, private sewer, concrete or other material laid on a site, foundation or damp-proof course."

C We may, I think, assume that the builder in this case duly gave notice to the Council. The Council's inspector came and inspected the work, but did it so negligently that he passed the bad work.

D Bye-law No. 112 enacted that any person offending against any of the bye-laws should be liable on conviction to a fine not exceeding £5.

E (Since 1965, building work has been subject to Building Regulations made by the Minister under section 4 of the Public Health Act, 1961; and he alone can relax them, see section 6(1). These regulations are much the same as the standard bye-laws previously in force. But they are more specific.

F They require not less than 24 hours notice in writing before the covering-up of any excavation for a foundation, any foundation or any concrete or other material laid over a site.

G 3. POWER OR DUTY

 Much discussion took place before us as to whether the Council were under a duty to examine the foundations or had only a power to do so. The Public Health Acts do not make this clear. H The 1936 Act simply says that it is the duty of the local authority to carry the Act into execution (see section 1(1)). The 1961 Act says that it is the function of every local authority

to enforce building regulations in their district. The word
"function" may mean either a power or a duty.

The reason for this discussion was the case of East Suffolk Rivers Catchment Board v. Kent (1941) A.C. 74. The argument was that if the local authority had a mere power to examine the foundations, they were not liable for not exercising that power. But, if they were under a duty to do so, they would be liable for not doing it.

This argument assumes that the functions of a local authority can be divided into two categories, powers and duties. Every function must be put into one or other category. It is either a power or a duty. This is, however, a mistake. There is a middle term. It is control.

In this case the significant thing, to my mind, is that the legislature gives the local authority a great deal of control over building work and the way it is done. They make bye-laws governing every stage of the work. They require plans to be submitted to them for approval. They appoint surveyors and inspectors to visit the work and see if the bye-laws are being complied with. In case of any contravention of the bye-laws, they can compel the owner to remove the offending work and make it comply with the bye-laws. They can also take proceedings for a fine.

In my opinion, the control thus entrusted to the local authority is so extensive that it carries with it a duty. It puts on the Council the responsibility of exercising that control properly and with reasonable care. The common law has always held that a right of control over the doing of work carries with it a degree of responsibility in respect of the work. Such has long been the case where an employer has the right to control the way in which an independent contract does his work: see Mersey Docks v. Coggins & Griffith (Liverpool) Ltd. (1947) A.C. 1. It is

also the case when an owner or a local authority exercises control over property for the purpose of doing repairs: see Mint v. Good (1951) 1 K.B. 517: Green v. Chelsea Borough Council (1954) 2 Q.B. 127: Brew v. Suar (1970) 1 Q.B. 612: or over a grating in a highway - Macfarlane v. Gwalter (1959) 2 Q.B. 332: Scott v. Green (1969) 1 W.L.R. 501. So here, I think, the local authority, having a right of control over the building of a house has a responsibility in respect of it. They must, I think, take reasonable care to see that the bye-laws are complied with. They must appoint building inspectors to examine the work in progress. Those inspectors must be diligent and visit the work as occasion requires. They must carry out their inspection with reasonable care so as to ensure that the bye-laws are complied with.

But, to whom is that duty owed? And what are the consequences if it is not done?

4. THE POSITION OF THE BUILDER

Mr. Tapp submitted that the inspector owed no duty to a purchaser of the house. He said that, on the authorities the builder, Mr. Holroyd, owed no duty to a purchaser of the house. The builder was not liable for his negligence in the construction of the house. So also the Council's inspector should not be liable for passing the bad work.

I would agree that, if the builder is not liable for the bad work, the Council ought not to be liable for passing it. So, I will consider whether or not the builder is liable. Mr. Tapp relied on the case of Bottomley v. Pennister (1932) 1 K.B. 459. That certainly supports his submission. But I do not think it is good law today.

In the 19th century, and the first part of this century, most lawyers believed that no one who was not a party to a contract could sue on it or anything arising out of it. They held that, if one of

A the parties to a contract was negligent in carrying it out, no third person who was injured by that negligence could sue for damages on that account. The reason given was that the only duty of care was that imposed by the contract. It was owed to the other contracting party, and to no one else. Time after time Counsel for injured plaintiffs B sought to escape from the rigour of this rule. But they were met invariably with the answer given by Baron Alderson in Winterbottom v. Wright (1842) 10 M. & W. at page 115:

C "If we were to hold that the plaintiff could sue in such a case, there is no point at which such actions would stop. The only safe rule is to confine the right to recover to those who enter into the contract: if we go one step beyond that, there is no reason why we should not go fifty.

D So the Courts confined the right to recover to those who entered into the contract. If the manufacturer or repairer of an article did it negligently, and someone was injured, the injured person could not recover: see Earl v. Lubbock (1905) 1 K.B. 253: Blacker v. Lake & Elliott Ltd. (1913) 106 L.T. 533. If the E landlord of a house contracted with the tenant to repair it and failed to do it - or did it negligently - with the result that someone was injured, the injured person could not recover, see Cavalier v. Pope (1906) A.C. 428. If the owner of land F built a house on it and sold it to a purchaser, but he did his work so negligently that someone was injured, the injured person could not recover, see Bottomley v. Bannister (1932) 1 K.B. 459. Unless in each case he was a party to the contract.

G That 19th century doctrine may have been appropriate in the conditions then prevailing. But it was not suited to the 20th century. Accordingly, it was done away with in Donoghue v. Stevenson (1932) A.C. 562. But that case only dealt with the H manufacturer of an article. The case of Cavalier v. Pope (on landlords) and Bottomley v. Bannister (on builders) were considered

by the House in Donoghue v. Stevenson, but they were not overruled.

A It was suggested that they were distinguishable on the ground that they did not deal with chattels but with real property, see by Lord Atkin at page 598 and by Lord Macmillan at page 609. Hence they were treated by the Courts as being still cases of authority. So much so that in 1936 a Judge at first instance held that a builder who builds a house for sale is under no duty to build it carefully. If a person was injured by his negligence, he could not recover, see Otto v. Bolton (1936) 2 K.B. 46.

C The distinction between chattels and real property is quite unsustainable. If the manufacturer of an article is liable to a person injured by his negligence, so should the builder of a house be liable. After the lapse of thirty years, this was recognised.

D In Gallagher v. McDowell (1961) N.I. 26, Lord MacDermott, L.C.J., and his colleagues in the Northern Ireland Court of Appeal held that a contractor who built a house negligently was liable to a person injured by his negligence. This was followed by Mr. Justice Nield in Sharpe v. Sweeting (1963) 1 W.L.R. 665. But the Judges in those cases confined themselves to cases in which the builder was only a contractor and was not the owner of the house itself. When the builder is himself the owner, they assumed that Bottomley v.

F Bannister (1932) 1 K.B. 459, was still authority for exempting him from liability for negligence.

G There is no sense in maintaining this distinction. It would mean that a contractor who builds a house on another's land is liable for negligence in constructing it: but that a speculative builder, who buys land and himself builds houses on it for sale - and is just as negligent as the contractor - is not liable. That cannot be right. Each must be under the same duty of care and to the same persons. If a visitor is injured by the negligent con-

struction, the injured person is entitled to sue the builder, alleging that he built the house negligently. The builder cannot defend himself by saying: "True I was the builder; but I was the owner as well. So I am not liable." The injured person can reply:

"I do not care whether you were the owner or not. I am suing you in your capacity as builder and that is enough to make you liable."

We had a similar problem some years ago. The liability of a contractor doing work on land was said to be different from the liability of an occupier doing the selfsame work. We held that each was liable for negligence: see Billings v. Riden (1957) 1 Q.B. 46, and our decision was upheld by the House of Lords: 1958 A.C. 240. See also Miller v. South of Scotland Electricity Board (1958) S.C. (H.L.) 20, page 37-8.

I hold, therefore, that a builder is liable for negligence in constructing a house - whereby a visitor is injured - and it is no excuse for him to say that he was the owner of it. In my opinion Bottomley v. Bannister is no longer authority. Nor is Otto v. Bolton. They are both overruled. Cavalier v. Pope has gone too. It was reversed by the Occupiers' Liability Act, 1957, section 4(1).

5. THE POSITION OF THE PROFESSIONAL ADVISER

Mr. Tapp then submitted another reason for saying that the inspector owed no duty to a purchaser. He said that an inspector is in the same position as any professional man who, by virtue of his training and experience, is qualified to give advice to others on how they should act. He said that such a professional man owed no duty to one who did not employ him but only took the benefit of his work: and that an inspector was in a like position. To support this proposition, Mr. Tapp brought out a long-forgotten case in the House of Lords called Robertson v. Flewing (1861) 4 Macqueen 167. It was a Scottish case about the responsibility of a lawyer. Lord Wensleydale said (at page 199): "He only, who by himself, or another

as his agent, employs the attorney to do the particular act in which
A the alleged neglect has taken place, can sue him for that
neglect...". That observation was made in 1861 when the legal
profession laboured under the fallacy which I have already
mentioned - the fallacy by which it was thought that, when one
B contracting party was negligent, no one could sue him for that
negligence except the other contracting party. That doctrine did
not avail manufacturers after 1932 - Dongghue v. Stevenson 1932 A.C.:
nor did it avail professional men after 1964 - Hedley Byrne v.
C Heller (1962) A.C. 465. In neither of those cases, strangely
enough, was Robertson v. Fleming referred to. But the result
of them is to lessen the authority of that case and the observations
in it.

D Nowadays since Hedley Byrne v. Heller it is clear that a
professional man who gives guidance to others owes a duty of care,
not only to the client who employs him, but also to another who he
knows is relying on his skill to save him from harm. It is certain
E that a banker or accountant is under such a duty. And I see no
reason why a solicitor is not likewise. The essence of this
proposition, however, is the reliance. In Hedley Byrne v. Heller
F it was stressed by Lord Reid at page 486, by Lord Morris of
Borth-y-Gest at pages 502/3, and by Lord Hodson at page 514. The
professional man must know that the other is relying on his skill
and the other must in fact rely on it.

G 6. RELIANCE

Mr. Tapp made a strong point here about reliance. He said
that, even if the inspector was under a duty of care, he owed that
duty only to those who he knew would rely on this advice - and who
H did rely on it - and not to those who did not. He said that Mrs.
Dutton did not rely on the inspector and he owed her, therefore, no
duty.

It is at this point that I must draw a distinction between the
A several categories of professional men. I can well see that in the
case of a professional man who gives advice on financial or property
matters - such as a banker, a lawyer or an accountant - his duty is
only to those who rely on him and suffer financial loss in con-
B sequence. But, in the case of a professional man who gives advice
on the safety of buildings, or machines, or material, his duty is to
all those who may suffer injury in case his advice is bad. In
Candler v. Crane, Christmas & Co. (1951) 2 K.B. at page 179, I put
C the case of an analyst who negligently certifies to a manufacturer
of food that a particular ingredient is harmless, whereas it is, in
fact, poisonous: or the case of an inspector of lifts who
negligently reports that a particular lift is safe, whereas it is in
D fact dangerous. It was accepted that the analyst and the lift
inspector would be liable to any person who was injured by consuming
the food or using the lift. Since that case the Courts have had the
instance of an architect or engineer. If he designs a house or a
E bridge so negligently that it falls down, he is liable to everyone
of those who are injured in the fall: see Clay v. Crump (1964) 1
Q.B. 533. None of those injured would have relied on the architect
or the engineer. None of them would have known whether an architect
F or engineer was employed, or not. But beyond doubt, the architect
and engineer would be liable. The reason is, not because those
injured relied on him, but because he knew, or ought to have known,
G that such persons might be injured if he did his work badly.

This view is in accord with a case in the U.S.A. - McCrow v.
Union Wire Rope Ltd. (1964) 100 N.E. 2nd 769. During the building
of a Court house, a lift plunged down six floors with 19 workmen
H aboard. It had been regularly inspected by an insurance company,
and passed as safe. The insurance company made these inspections

gratuitously in order to promote their business. The inspector
A was negligent. He passed the lift as safe when it was unsafe.
The Supreme Court of Illinois, by a majority, held that the
insurance company were liable for the negligence of the inspector.
They said (at page 779) that the defendant's liability "is not
B limited to such persons as might have relied upon it to act, but
extends to such persons as defendant could reasonably have foreseen
would be endangered as a result of negligent performance". I
quite agree.

C 7. PROXIMITY

Mr. Tapp submitted that in any case the duty ought to be limited
to those immediately concerned and not to purchaser after
purchaser down the line. There is a good deal in this, but I think
D the reason is because a subsequent purchaser often has the house
surveyed. This intermediate inspection, or opportunity of inspec-
tion, may break the proximity. It would certainly do so when it
ought to disclose the damage. But the foundations of a house are in
E a class by themselves. Once covered up, they will not be seen again
until the damage appears. The inspector must know this, or, at any
rate, he ought to know it. Applying the test laid down by Lord
F Atkin in Donoghue v. Stevenson (1932) 2 A.C. at page 580/1, I should
have thought that the inspector ought to have had subsequent
purchasers in mind when he was inspecting the foundations - he
ought to have realised that, if he was negligent, they might suffer
G damage.

8. ECONOMIC LOSS

Mr. Tapp submitted that the liability of the Council would, in
any case, be limited to those who suffered bodily harm: and did not
H extend to those who only suffered economic loss. He suggested,
therefore, that although the Council might be liable if the ceiling
14.

A fell down and injured a visitor, they would not be liable simply because the house was diminished in value. He referred to the recent case of S.C.M. v. Whitefield, 1971 1 Q.B. 137.

B I cannot accept this submission. The damage done here was not solely economic loss. It was physical damage to the house. If Mr. Tapp's submission were right, it would mean that, if the inspector negligently passes the house as properly built and it collapses and injures a person, the Council are liable: but, if the owner discovers the defect in time to repair it - and he does
C repair it - the Council are not liable. That is an impossible distinction. They are liable in either case.

D I would say the same about the manufacturer of an article. If he makes it negligently, with a latent defect (so that it breaks to pieces and injures someone) he is undoubtedly liable. Suppose that the defect is discovered in time to prevent the injury. Surely he is liable for the cost of repair.

E 9. LIMITATION OF ACTION

F Mr. Tapp also said that, if this action were allowed, it would expose the Council to endless claims. The period of limitation would only start to run when the damage was done, i.e., when the cracks appeared in the house. This would mean that they might be liable many years hence. I do not think that is right. The damage was done when the foundations were badly constructed. The period of limitation (six years) then began to run. That appears
G from Bagot v. Stevenson (1966) 1 Q.B. at page 203. Mr. Justice Diplock said:

H "If the drains were not properly designed and built, the damage from any breach of that duty must have occurred at the time when the drains were improperly built, because the plaintiff at that time was landed with property which had bad drains when he ought to have been provided with good drains, and the damage accordingly occurred on that date."

A The Council would be protected by a six-year limitation, but the builder might not be. If he covered up his own bad work, he would be guilty of concealed fraud, and the period of limitation would not begin to run until the fraud was discovered, see Applegate v. Moss (1971) 1 Q.B. 406.

B 10. POLICY

C This case is entirely novel. Never before has a claim been made against a Council or its surveyor for negligence in passing a house. The case itself can be brought within the words of Lord
D Atkin in Donoghue v. Stevenson: but, it is a question whether we should apply them here. In Dorset Yacht Co. Ltd. v. Home Office (1970) A.C. 1004, Lord Reid said (at page 1023) that the words of Lord Atkin expressed a principle which ought to apply in general
E "unless there is some justification or valid explanation for its exclusion". So did Lord Pearson at page 1054. But Lord Diplock spoke differently. He said it was a guide but not a principle of universal application (page 1060). It seems to me that it is a question of policy which we, as Judges, have to decide. The time has come when, in cases of new import, we should decide them according to the reason of the thing.

F In previous times, when faced with a new problem, the Judges have not openly asked themselves the question: What is the best policy for the law to adopt? But the question has always been there in the background. It has been concealed behind such questions:
G as: Was the defendant under any duty to the plaintiff? Was the relationship between them sufficiently proximate? Was the injury direct or indirect? Was it foreseeable, or not? Was it too remote? And so forth.

H Nowadays we direct ourselves to considerations of policy. In Rondel v. Worsley (1969) 1 A.C. 191, we thought that, if advocates were liable to be sued for negligence, they would be hampered in

carrying out their duties. In Dorset Yacht Co. Ltd. v. Home Office (1970) A.C. 1004, we thought that the Home Office ought to pay for damage done by escaping Borstal boys, if the staff was negligent, but we confined it to damage done in the immediate vicinity. In S.C.M. v. Whitefield (1971) 1 Q.B. 331, some of us thought that economic loss ought not to be put on one pair of shoulders, but spread amongst all the sufferers. In Launchbury v. Morgans (1971) 2 Q.B. 245, we thought that, as the owner of the family car was insured, she should bear the loss. In short, we look at the relationship of the parties: and then say, as matter of policy, on whom the loss should fall.

What are the considerations of policy here? I will take them in order.

First, Mrs. Dutton has suffered a grievous loss. The house fell down without any fault of hers. She is in no position herself to bear the loss. Who ought in justice to bear it? I should think those who wereresponsible. Who are they? In the first place, the builder was responsible. It was he who laid the foundations so badly that the house fell down. In the second place, the Council's inspector was responsible. It was his job to examine the foundations to see if they would take the load of the house. He failed to do it properly. In the third place, the Council should answer for his failure. They were entrusted by Parliament with the task of seeing that houses were properly built. They received public funds for the purpose. The very object was to protect purchasers and occupiers of houses. Yet, they failed to protect them. Their shoulders are broad enough to bear the loss.

Next I ask: Is there any reason in point of law why the Council should not be held liable? Hitherto many lawyers have thought that a builder (who was also the owner) was not liable.

A If that were truly the law, I would not have thought it fair to make the Council liable when the builder was not liable. But I hold that the builder who builds a house badly is liable, even though he is himself the owner. On this footing, there is nothing unfair in holding the Council's surveyor also liable.

B Then, I ask: If liability were imposed on the Council, would it have an adverse effect on the work? Would it mean that the Council would not inspect at all, rather than risk liability for inspecting badly? Would it mean that inspectors would be
C harassed in their work or be subject to baseless charges? Would it mean that they would be extra cautious, and hold up work unnecessarily? Such considerations have influenced cases in the past (as in Rondel v. Worsley). But here I see no danger. If
D liability is imposed on the Council, it would tend, I think, to make them do their work better, rather than worse.

Next, I ask: Is there any economic reason why liability should not be imposed on the Council? In some cases the law
E has drawn the line to prevent recovery of damages. It sets a limit to damages for economic loss, or for shock, or theft by escaping convicts. The reason is that, if no limit were set, there would
F be no end to the money payable. But I see no such reason here for limiting damages. In nearly every case the builder will be primarily liable. He will be insured and his insurance company will pay the damages. It will be very rarely that the Council
G will be sued or found liable. If it is, much the greater responsibility will fall on the builder and little on the Council.

Finally, I ask myself: If we permit this new action, are
H we opening the door too much? Will it lead to a flood of cases which the Council will not be able to handle, nor the Courts?

Such considerations have sometimes in the past led the Courts to reject novel claims. But I see no need to reject this claim on this ground. The injured person will always have his claim against the builder. He will rarely allege - and still less be able to prove - a case against the Council.

A All these considerations lead me to the conclusion that the policy of the law should be, and is, that the Council should be liable for the negligence of their surveyor in passing work as good when in truth it is bad.

B I would therefore dismiss this appeal. In parting from the case I would like to pay my tribute to the help we have received from Counsel on both sides and the very good research they have done in the course of the case.

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A LORD JUSTICE SACHS: The facts in the present case are simple, but
they raise interesting and important issues of law, and at the
outset I would like to pay my tribute to the admirable help
received by this Court from Mr. Tapp and Mr. Wood through the
B lucid and powerful submissions which they presented.

In 1958 application was made on behalf of one Mr. Holroyd,
a builder, who was developing an area known as Gossamer Estate,
Bognor Regis, for planning permission to erect a detached house
C for private occupation on Plot No. 28 of which he owned the
freehold. On the 23rd October, 1958, the Council notified their
approval of the plans deposited in accordance with the Byelaws
made by them under the Public Health Act, 1936. He proceeded
D with the erection of a house on that plot and can conveniently
be referred to as the "building owner". In due course an
inspector from the offices of the Bognor Regis Council ("the
Council") came to inspect the foundations to see whether they
E complied with the above Byelaws: without his approval the
building work could not in practice go ahead. He in fact gave
approval, but his inspection was so negligent that he failed to
observe that the land in the centre of the plot was of such a
F nature that the foundations being laid were gravely inadequate.
The building then went ahead and so the defective foundations were
covered up and hidden from any normal subsequent inspection.

After its completion the building owner sold the house on
G Plot No. 28 to one Clarke for £4,050, conveying the property to
him on the 21st January, 1960. On the 19th December, 1960, Clarke
contracted with Mrs. Dutton (the plaintiff in this action) to
sell her the house for £4,800. It being a new house no surveyor
H was employed by her to inspect it -- but it was in this Court

A common ground that if such a surveyor had been employed he could not have been expected to find out this particular hidden defect.

B The plaintiff moved into the house on the 11th January, 1961: by the autumn certain cracks commenced to appear in consequence of the hidden defect: the house began to subside with lamentable results which she had no financial means to remedy. The 1962 cost of the necessary work of curing the structural defects and of repairs was at trial agreed to be C £2,240 (including surveyors' fees). To that sum there was added £500 described as the reduction in the value of the house: from the resulting £2,740 there was deducted £625 recovered from Mr. D Holroyd, and judgment was entered for £2,115. The plaintiff recovered nothing towards the rise over 8 years in the cost of the work she could not afford, nor any sum for the gross inconvenience she suffered.

E The settlement of the claim against the building owner for a mere £625 was due to fears as to the effect on her rights of what later in this judgment is referred to as "the Bottomley v. Bannister point". After that settlement she continued to F proceed against the Council, claiming that they, as well as the building owner, were liable to her in the circumstances above set out. The Council have not chosen to take third party proceedings against the building owner with a view to obtaining a G further contribution from him -- though it is common ground that this is something they could have done as between the defendants.

H The various relevant provisions of the Public Health Act, 1936, and the Byelaws made thereunder by the Council having been referred to in the judgment of my Lord, the Master of the Rolls, there is

A no need to recite them again. But so much depends upon the position created by them that it is convenient at the outset to stand away from the points of detail and consider the overall object and the practical effect of the Act and the Byelaws as a whole in regard to the erection of dwellings.

B The object was clearly to ensure that through Byelaws made by councils (or by the Minister if a council made none) as backed by powers to enforce them; that each dwelling erected in
C the Council's area should have a standard of sanitation and soundness of construction that would be satisfactory for the health and wellbeing of those who might live in it. The Byelaws were to lay down the requirements, which of course might vary according to the locality, whilst the Act itself provided the
D Council with enforcement powers -- "the teeth".

The practical effect of the Act and the Byelaws taken together was to give the Council through its appointed officers all-embracing control over most of the building operation -- and in
E particular control over sanitation and foundation work. Any work that is not complying with a Byelaw can be stopped by the Council's officers on their ascertaining that non-compliance. Further, if any work has been done which failed to comply with
F those Byelaws the Council can require its alteration or removal and in default could itself remedy the defect. The teeth are to be found in the provisions of the Act, such as sections 65 and 287.

G In the result no builder dare go ahead with sanitation or foundation work without the approval of the Council's Surveyor. The latter's control in practice can and often does override that of any site foreman or architect. It is, moreover, an obvious fact
H that when control is being exercised over work which is subsequently

A covered up (such as drains and foundations) any fault in the
work thus covered will not in the nature of things be discovered
on any normal subsequent survey made either on behalf of a
purchaser or on behalf of any building society with whose aid
B the building is being acquired. It is plain that this control
was designed to provide a protection against jerry-building,
similar faults, and their effects -- not least to guard against
poor drainage, and foundations.

C The question whether the Act and the Byelaws result in the
Council having a duty to those who later purchased the dwellings
is one as to which a considerable number of points have been raised
in the course of the submissions in this Court. I have formed
D the view that in the end the crucial approach is that indicated
by Lord Pearson when in his speech in the Dorset Yacht case, 1970
A.C. 1004, he said at page 1054:

E "It is true that the Donoghue v. Stevenson principle
as stated.....is a basic and general but not
universal principle and does not in law apply to all
the situations which are covered by the wide words
of the passage. To some extent the decision in this
case must be a matter of impression and instinctive
judgment as to what is fair and just".

F In the course of that approach due regard must, of course, be
had inter alia to how far reaching may be the effect of holding
that such a duty existed. In essence it is a matter of the policy
of the common law.

G Before coming to this crucial stage, it is as well to dispose
of certain points raised on behalf of the Council which, if
accepted, would result in a decision in their favour without
really having to examine the final question as posed by Lord
Pearson.

H As regards each point in turn any examination of the law will,

A of course, be concerned with the liability of a defendant for
negligence which produces hidden or latent physical defect --
that is to say defects not detectable on any normal earlier
B examination before they become apparent to the plaintiff who
brings a claim. That is the type of defect with which this
appeal is concerned and I would wish to guard against anything
said later in this judgment being interpreted as affecting other
defects. Bottomley v. Bannister 1932 1 K.B. 438 C.A.

C In limine comes the submission that the principles in
Donoghue v. Stevenson have no application to realty. In this
behalf it was argued that a building owner can never be under any
liability to a purchaser or anyone else for defects in the
D building he has erected save by virtue of some liability created by
contract: and that accordingly as a building owner cannot be
liable in negligence for hidden defects which he has created
then a fortiori the person who caused the defects to arise cannot
E be liable either.

Arguendo this submission came to be styled the Bottomley
v. Bannister point because of what was said in that case, decided
just before the judgment in Donoghue v. Stevenson in the House of
F Lords. Particular reliance was placed on what Lord Justice
Scrutton said (page 468):

G "Now it is at present well established English
law that, in the absence of express contract,
a landlord of an unfurnished house is not liable
to his tenant, or a vendor of real estate to his
purchaser, for defects in the house or land
rendering it dangerous or unfit for occupation,
even if he has constructed the defects himself
or is aware of their existence".

That passage on the face of it strongly supports the contention of
H the Council as also does what was said in similar vein as to a
landowner's special position by Lord MacDermott, Lord Chief Justice,

A in Gallagher v. N. McDowell Ltd. 1961 N. Ireland L.R. 26 at page 38.

B In the latter case, however, it was held that building contractors who had erected a house for the Northern Ireland Housing Trust would be liable in negligence to the wife of the first tenant of that house for a defect in the wooden floor of one of the rooms which caused her to sustain an accident and ordered a new trial on that footing. Accordingly, the passages
C that relate to the liabilities of an owner of realty are obiter. Moreover, Bottomley v. Bannister, being a pre-Donoghue v. Stevenson decision, must now be looked at in the light of what was decided in the latter case. Such other post Donoghue v. Stevenson decisions as were cited to us were at first instance,
D e.g. Otto v. Bolton & Norris 1936 2 K.B. 46.

As regards Cavalier v. Pope 1906 A.C. 428; also much relied on by Mr. Tapp, the House of Lords were concerned with a case
E where the landlord had allowed the premises which he had let to the plaintiff's husband to get into a dangerous state of disrepair. It is perhaps sufficient for the purposes of the present case to observe that that was not perhaps a comparable instance of
F actually creating the dangerous state of affairs, nor does it appear that the defect was in any way hidden; on the contrary, the disrepair was so obvious that the plaintiff and her husband had threatened to leave the premises. The facts accordingly bear no
G relationship to those in the instant case.

In the result there is thus nowhere to be found any authority binding on this Court to hold that the principles enunciated in
H Donoghue v. Stevenson cannot apply to an owner of realty.

It is obvious that a builder who by his negligence creates a

hidden defect is liable to anyone suffering damage from it

A just as a manufacturer is liable when a hidden defect in the goods he makes injures a workman using it and as a producer of consumable goods is liable when a hidden defect injures a consumer. I can find nothing in principle which absolves from

B liability a builder who creates a hidden defect because he happens to be or to become the owner of the premises built. On the contrary as Lord MacDermott himself said in Gallagher's case at page 41:

C "The doctrine of Donoghue v. Stevenson can apply to defective houses as well as to defective chattels" and in my judgment there is no exception behind which landowners as such can shelter'.

D Thus the Bottomley v. Bannister point fails.

East Suffolk Rivers Catchment Board v. Kent and Anor. 1941 A.C.74:

Next it was urged on behalf of the Council that the present case was one to which the well-known decision in Geddis v.

E Proprietors of the Bann Reservoir (1878) 3 A.C. 430 as to

liability for negligent exercise of powers did not apply having regard to what was said in the speeches in the East Suffolk

Rivers Catchment Board case, where the Board was held not to be

F liable for having failed to use in the exercise of its powers reasonable expedition in repairing a breach in a sea wall, (which they do not appear themselves to have erected) with the result that the flooding of the plaintiff's land caused by the breach was

G not abated as promptly as it would have been had such expedition been used (see page 84). Particular stress was laid on a passage in the speech of Lord Romer at page 102 where he summarised the principle he considered to be involved in that case. He said

H "Where a statutory authority is entrusted with a mere

A power it cannot be made liable for any damage sustained by a member of the public by reason of a failure to exercise that power".

He proceeded to emphasise that the only duty of the Board was not to add to such damage as would have been suffered by the plaintiff had they done nothing.

B As a matter of first impression that statement of the law seemed to provide a formidable point in favour of the Council. But even on the basis that the instant case is concerned with
C a "mere power" there is a very relevant distinction between the facts in the East Suffolk Rivers Catchment Board case and the facts now under consideration.

D Where in a case relating to the exercise of powers the issue arises as to whether on the facts the cause of any damage is non-feasance or whether that cause is a misfeasance, the borderline can be difficult to discern. The East Suffolk Rivers Catchment Board case is one in which the failure to proceed with
E the building work sufficiently quickly was held to be in essence a case of non-feasance -- though Lord Atkin's dissenting speech shows how close it came to that borderline. In the present case, on the contrary, the negligence plainly occurred in the course
F of a positive exercise by the Council of its powers. The moment it exercised its power under Section 61 of the 1936 Act to make bye-laws it assumed control over all such building operations within its area as were the subject of those byelaws. That assumption of
G control was a positive act and thereafter in my opinion any negligence in its exercise fell within the ambit of the decision in the Geddis case: had the Council's surveyor failed to make any inspection at all of the foundations that, of itself, might,
H according to the circumstances, have constituted negligence. But

A be that as it may, it is quite plain that the approval of the
foundations by the Council's surveyor was a positive exercise
of its powers of control -- in the same way as would be the
switching on of a green light by a signalman, to adopt the help-
B ful analogy raised arguendo by my brother, Lord Justice Stamp.
In so far as in the present case we are concerned with the
exercise of mere powers, we are dealing with a case of mis-
feasance.

C It follows that on that ground there is, in my judgment,
nothing in the decision in the East Suffolk Rivers Catchment
Board case which can afford a defence to the Council: accordingly
it is not necessary to consider the further point taken by Mr.
D Wood, based on passages in the speeches of Lord Simon, Lord
Thankerton and Lord Porter at pages 87, 96 and 105 respectively
(see also the speech of Lord Atkin at pages 292/3) that the
decision there in substance turned on the question of causation.

E NATURE OF LOSS

It was strongly contended on behalf of the Council that the
nature of the loss suffered by the plaintiff was in essence
economic and that for economic loss no action would lie in
F negligence. For my part, however, I would adopt what was said by
Lord Justice Salmon in the Ministry of Housing and Local Government
v. Sharp and Another 1970 2 Q.B. 223 at page 278:

G "So far, however, as the law of negligence relating
to civil actions is concerned, the existence of a
duty to take reasonable care no longer depends upon
whether it is physical injury or financial loss which
can reasonably be foreseen as a result of a failure
to take such care".

H That appears to me to accord with the views expressed in Hedley
Byrne & Co. Ltd. v. Heller & Partners Ltd. 1964 A.C. 465, by Lord

A Devlin at page 517 and by Lord Pearce at page 538. That
proposition must, of course, be taken in conjunction with what
Lord Denning, Master of the Rolls, said in S.C.M. (United Kingdom)
B Ltd. v. W.J. Whittall & Son Ltd. 1971 1 Q.B. 337, at page 344, where
he adverted to the need to apply common sense to the particular
situation being considered so as to avoid too wide an area of
liability for damages being recoverable for some act of negligence.

C In the instant case there is ample evidence of physical
damage having occurred to the property -- but it has been argued
that this damage is on analysis the equivalent of a diminution of
the value of the premises and does not rank for consideration as
D physical injury. Mr. Tapp found himself submitting that if, for
instance, the relevant defect had been in the ceiling of a room
then if it fell on somebody's head or on to the occupier's
chattels and thus caused physical damage then (subject of course to
his other points failing) there would be a cause of action in
E negligence, but not if it fell on to a bare floor and caused no
further damage. Apparently in the former case damages would be
limited so as to exclude repairs to the ceiling: in the latter
F case there would be no cause of action at all. That subtle line of
argument failed to attract me and would lead to an unhappily odd
state of the law.

If physical damage is, contrary, to my view, a sine qua non
G before a cause of action can arise against a builder or a building
owner, then it seems to me to have occurred in the present case.
But in my judgment to pose the question is it physical damage or
economic damage is to adopt a fallacious approach. In this case --
H and perhaps generally in cases concerned with the exercise of duties
and powers by a public authority -- the correct test is "What range

A of damage is the proper exercise of the power designed to
prevent?" In this way the question whether any particular
damage is recoverable is brought back into the area of policy
indicated by Lord Denning in his judgment in the S.C.M. case:
B and appropriate weight can, if necessary, be given to the fact
that this case concerns a house and not a chattel. At this stage,
it suffices to say that nothing in the nature of the loss sustained
by the plaintiff of itself precludes a claim being maintained for
C that loss.

Before coming to this conclusion I have naturally considered the
carefully marshalled submissions made with the aid of the most
recent edition of the United States Restatement of the Law of
D Torts but I am unable to accept that in this country, at any rate,
anything said there applies to the facts now under review.

PROXIMITY, RELIANCE AND STATUTE OF LIMITATIONS

E Before turning to the crucial question in this case there
still remain to be considered the submissions made on behalf of the
Council in relation to three points which can be conveniently
considered as a group --- though of course each was raised as of
F itself providing a defence to the action.

As to proximity, it was contended that there was not a
sufficiently close relationship between the Council's negligence
and the plaintiff as regards the subject-matter of the claim on
G two grounds, each being said to be sufficient to sustain the Council's
contention, though of course they should also be looked at in
combination.

Firstly, it was argued that as the defects were due to bad work
H by the building owner, any negligence on the part of the Council

was in law not sufficiently proximate to enable the plaintiff
A to claim against it. There is, however, no substance in this
point -- which seems somewhat reminiscent of the out-dated
conception which led to arguments being adduced as to the
distinction between causa causans and causa sine qua non and
B also those touching the one-time doctrine of "last opportunity".
Nowadays, at any rate, the signalman who has fallen asleep and
the engine driver who fails to see the obstacle on the line can
both be liable (cf. Grange Motors (Cwmbran) Ltd. v. Spencer and
C Another 1969 1 W.L.R. 53): so can an architect, a building
contractor and a demolition contractor all concerned with the
same site (Clay v. A.J. Crump & Sons Ltd. and Ors. 1964 1 Q.B.533).

Next came the suggestion that because the plaintiff in the
D present action was not the original purchaser from the building
owner but was next in the line of succession in purchasers the
relationship between her and the building owner was not sufficiently
proximate. That suggestion overlooks the very essence of the
E Donoghue v. Stevenson decision. As regards hidden defects the
fact that there have been intermediate purchasers or users is not
in point where the defect can only come to light at the stage when
F the plaintiff is injuriously affected. Here again there is no
distinction in this respect between a defect in a house and a
defect in a chattel: so that suggestion also has no substance.

Next came the much pressed point that the plaintiff ought to
G have established affirmatively that she personally or by her
agents relied upon the inspection by the Council when she entered
into the contract to acquire the house. It was correctly pointed
out that there was no evidence of any such reliance. In aid of
H this submission were cited passages in the speeches of Lord Reid,
Lord Morris and Lord Pearce in the Hedley Byrne case at pages 487,

A 502 and 538 respectively, and also a number of passages to be found in judgments of Appeal Courts in the United States. Clearly there can be categories of cases in which the duty to a plaintiff may depend on whether he has placed reliance on the defendants' conduct, be it conduct by way of acts or by way of words. On the other hand, in the vast majority of cases the question whether a plaintiff actually thought about and relied on the defendants' conduct is quite irrelevant: the point in those cases is not whether he thought about the matter and can so state in evidence but simply whether he is entitled to the benefit of a duty owed by the defendant irrespective of whether at the time he thought about that question.

D Finally, amongst this group came the submission that in this class of case the discovery of any defect in the foundations -- or indeed generally in a building -- might only occur after a considerable number of years and that to allow such claims to be maintained would in effect defeat the intent of the statute of limitations. Whatever be the moment a cause of action in negligence arises, there is again no difference in law applicable to negligence producing a defect in a building and negligence producing a defect in a chattel. There is, moreover, much force in the point made by Mr. Wood that as regards buildings the worse the defect the sooner it is likely to be discovered, and the longer it remains undiscovered the less likely it is that negligence can be proved. This point raised on behalf of the Council cannot of itself provide a defence.

H In coming to that conclusion I have not sought to rely on that dictum of Lord Justice Diplock, sitting at first instance, in Bagot v. Stevens Scanlon & Co. Ltd. 1966 1 Q.B. at page 203, which

A has been referred to by my Lord. I would observe that not
having been cited to us in argument, it was not the subject of
submissions by either side. Moreover the dictum itself being
concerned with doubts as to whether admissions made by both
B parties in the Bagot case were valid, the point does not appear
to have been argued there either. So I prefer to express no
concluded view, as the point may be susceptible of argument --
especially as the limitation period in this class of case might,
C having regard to Section 1(3) and Section 7 of the Limitation
Act, 1963, on the basis adopted by Lord Justice Diplock, vary
according to whether or not personal injury was suffered by a
plaintiff. Much, moreover, may depend on whether the views
D expressed under the heading: "Nature of the Loss" are correct.

It follows that none of the above points which have been
grouped together can of itself provide the Council with a defence.
They do, however, raise questions which it is proper to take into
E account when considering the final question on the lines of
approach indicated by Lord Pearson.

A DUTY SITUATION?

F Having thus cleared the way of a number of obstacles each
submitted in turn to preclude the plaintiff succeeding in her
claim, the stage has now been reached for approaching the final
question -- as between the Council and the plaintiff was there "a
G duty situation", to adopt the apt phrase used by Lord Morris of
Borth-y-Gest in the Dorset Yacht case at page 1036? For that
purpose I will, as stated earlier in this judgment, respectfully
adopt the approach signposted by Lord Pearson (see page 1054) in a
H passage which follows closely the line taken by Lord Morris.

Before, however, so doing, it seems convenient to pause and

look around to see what is the area into which one has emerged.

A It is the area of the exercise of functions of bodies created by statute for the benefit of a community or of individuals who form part of that community. It is an area in which the essential purpose of the legislation is to provide a clear measure of protection which the common law does not of itself afford. B That protection is its primary object.

C That area differs from those in which the Courts concern themselves with the effects of operations resulting from contracts between parties (e.g. builder and site owner) whose primary object is their own pecuniary or other advantage and for whom the benefits accruing to others are at least secondary. A fortiori it differs from the area in which the Courts are concerned with acts done voluntarily by persons for their own D benefit (e.g. the insurers of lifts in the United States cases).

E When first asked the direct question "To whom does the Council owe a duty when exercising the powers derived from the fasciculus of Sections in the 1936 Act commencing at Section 61 and headed "Bye-laws with respect to Buildings and Sanitation", Mr. Tapp seemed, if I may respectfully so suggest, hesitant in his reply.

F Having eliminated special cases -- such as those in which some specific communication to the Council could be said to produce reliance on the surveyor by the builder or by the site owner -- the answer in due course came "It is under no duty to anybody". The G Act was submitted to be passed for the benefit of the community at large (without imposing any duty justiciable on its behalf), so that a proper standard of building be maintained in the area, but not for the benefit of any category of individuals or any individual. H There was thus no duty to any individual and it was urged that no neglect by the Council, however gross, could be justiciable at the

A instance of one who suffered damage.

That answer and those submissions I reject. The act was passed to protect those who might come to own or occupy the relevant houses against jerry building and similar faults and was intended to benefit such persons. That protection and benefit was the primary purpose of the relevant provisions of the Act: and that is a purpose which falls within the instructions given to the Council by the words in Section 1, "it shall be the duty of the following authorities to carry this Act into execution".

It follows that as between the Council and the owners and occupiers of houses over the building of which it has control there exists at least in respect of hidden defects of the type under consideration a duty situation -- unless (see per Lord Reid and Lord Pearson in the Dorset Yacht case at pages 1023 and 1054 respectively) there are some countervailing factors which should on policy grounds lead to a contrary conclusion.

Early amongst the countervailing points relied on by Mr. Tapp was the suggestion that those who might suffer damage had a sufficient remedy against the building contractor (assuming that the Bottomley v. Bannister point was rejected). That seems a poor point for many reasons -- for instance the common law does not normally limit the person who suffers damage to a remedy against one of two culpable persons. In the category of case with which we are here concerned it is moreover particularly important that a dual liability should exist. It is commonplace today that a development project involving the building of a group of houses by a site owner is often so arranged that everything is

A done by a specially formed company which may be dissolved when
the project is completed: such an arrangement can have taxation
advantages and can also afford financial protection if the
project results in a loss. Those for whose benefit the Act
B was passed both need and should have the benefit of such dual
liability as may be available in a state of affairs which could
not have come about if the Council had done what it ought to do.

C Next came the suggestion that to uphold the plaintiff's
claim in this case would open the way to a flood of similar
claims against Councils and -- perhaps more importantly --
against others who make inspections under statutory powers, such
as factory inspectors and those who carry out annual tests on
D motor vehicles for which no renewal of a licence can be obtained
without the aid of a test certificate. This could be a formidable
point if established to the degree propounded by Mr. Tapp. But
as regards similar claims under the 1936 Act there must be
E remembered the very great difficulties that normally beset a
plaintiff on whom lies the burden of proving that a hidden defect
resulted from a surveyor's negligence as opposed to, at highest,
F from an error of judgment. Practical experience points against any
flood of such claims.

As regards inspections under other powers -- here again it
must be kept in mind that the instant case is concerned with
G negligence against which normal intermediate examination would
not generally afford protection. No doubt there will be some
claims made as regards the exercise of other statutory powers:
but without a close examination of those particular powers and
H also of the chances of proving negligence in relation to their
exercise no reliable forecasts can be made. For my part I do not

A find myself in that state of fear in which Mr. Tapp sought to envelope me. Indeed in the end I find nothing in this point to deter me from deciding this appeal in accordance with the justice of the case.

B As regards the several other points raised of which it was said that individually or in the aggregate they should on policy grounds lead to the instant claim being excluded from the general ambit of the main principle to be found in Donoghue v.
C Stevenson, it seems sufficient, save in one instance, to refer to what I have said earlier in this judgment as to some of the points and to add that as regards the others I am in general agreement with what has been said about them by my Lord, the
D Master of the Rolls.

The one point for further mention relates to the measure of damages. What is the answer to the question "What range of
E damage is the proper exercise of the relevant power designed to prevent?" Primarily, it is designed to prevent owners and occupiers having to live in a dwelling built to a lower standard than that prescribed by the Act and the Byelaws made under it. Prima facie the measure of damage must accordingly include the
F cost of the work required to raise the dwelling to the requisite standard. In addition the design being to avoid injury to health or to other property due to substandard construction, damage
G suffered under this head would (subject of course to the usual rules as to causation and mitigation) be recoverable and also something for general inconvenience suffered whilst occupying the premises and for disturbance during repairs.

H For my part, however, I doubt whether a claim lies for any reduction in the market value of the premises over and above the

A cost of the relevant work, e.g. if, for instance, a house with
underpinned foundations were shown to be worth £300 less in
the open market than one with good original foundations. The
Act is not concerned with market values as such and it could be
B consistent with the policy applicable to this class of case
to draw a line which would preclude recovery of this type of
economic loss (compare the Gorris v. Scott L.R. 9 Exch. 125 line
of cases). The measure of damages for negligence is not the
C same as the measure for breach of warranty -- and as regards
negligence I would also wish to reserve the question whether the
measure against a building contractor might not exceed that re-
coverable against a Council. As, however, Mr. Tapp in the course
D of his reply specifically disclaimed reliance on any distinction
between the two component parts (£2,240 and £500 respectively)
of the £2,740 for which the Council was held liable, it is not
necessary further to consider this doubt of mine (some such sum
E would anyway presumably be appropriate for the wretched incon-
venience suffered).

The suggested countervailing points being found to be
ineffective, it follows that as between the Council and the
F plaintiff there existed a duty situation even if the former
were exercising mere powers. A fortiori, of course, was there
such a situation if, as I would hold, the Council were under a
G duty, imposed by the 1936 Act, to exercise control. In either
case the plaintiff is entitled to recover damages for the
negligence that has been established.

(The plaintiff has not raised the question whether a claim
H for breach of statutory duty would lie in this case in the absence

A of negligence. So it is unnecessary to consider whether the
instant case is one that falls on the Groves v. Lord Wimborne
(1898 2 Q.B. 402) or on the Phillips v. Britannia Hygienic
B Laundry Co. Ltd. (1923 2 K.B. 832) side of the line. That is a
point which may have to be considered on some future occasion,
particularly since Section 61 of the 1936 Act has been amended
by the Public Health Act, 1961, so that instead of Byelaws there
C are now always Regulations made by the Minister which it has
become the duty of Councils to enforce).

I would dismiss the appeal.

LORD JUSTICE STAMP: Under section 1 of the Public Health Act 1936,

A the defendant Council had the duty to carry the Act into execution
within its area. Under section 61 of that Act, it was provided
that every local authority might and, if required by the Minister,
should make byelaws for regulating (inter alia) the construction
B of buildings and the materials used in their construction. The
defendant Council did make such byelaws. In my judgment they
must be taken to have done so pursuant to the duty cast upon
them by section 1 of the Act. The byelaws so made imposed no
C duties upon the defendant Council, but having made them, it
became one of the functions of the Council to see that the
byelaws were complied with. They became part of the machinery
D enabling the Council to perform its duty to protect the health
and amenities of the local inhabitants. The byelaws do not
impose upon the Council any duty to ensure that a house built
within their area was not built upon an insecure foundation, but
E contained machinery enabling them to perform that task, and a
powerful sanction if the byelaws were not complied with.

By the joint effect of byelaws 2 and 6(1) a builder
intending to build a house was required to furnish to the
F Council, with not less than 24 hours' notice in writing -
(a) of the date and time at which the operation would be
commenced; and (b) before the covering up of any drain, private
sewer, concrete or other material laid over a site, foundation of
G damp-proof course. A builder who failed to do this acted at his
peril: for, by paragraph (2) of the byelaw 6, it was provided that
if the builder neglected or refused to give any such notice, he
should comply with any notice in writing by the Council requiring
H him, within a reasonable time, to cut into, lay open or pull
down so much of the building, works or fittings as prevented the

Council from ascertaining whether any of the byelaws had been
contravened. Byelaw 18(1) provided in effect that the foundations
of every building should be so designed and constructed that the
stability of the building was not impaired.

The machinery set up pursuant to the Act was well designed
to secure that houses built in the area of the Council were not
jerry-built houses or built on unsound foundations. The
machinery gave the Council the opportunity, which it took in this
case, to see that the house which the plaintiff subsequently
purchased was not such a house. The Council, however, by its
surveyor acted so carelessly that it did not discover the house
was built on unstable land. The Council's surveyor told the
builder that the foundations were passed as satisfactory and
showed him the green light to build on what was in fact an
unstable foundation. The result was he did build and the
plaintiff, when she came to purchase the property, purchased a
house which began to fall down. She has suffered loss.

Before examining the law, or approaching the authorities
relied upon, I find it convenient to deal first with the sub-
mission made on behalf of the defendant Council that the injury to
the plaintiff was not caused by any act or default of the
defendant Council. It was, so the argument ran, the builder,
and not the defendant Council, who carelessly built the house
upon an insecure foundation, and so created the lack of stability
of which the plaintiff complains. I cannot accept this sub-
mission. As I see it, the situation was essentially this. The
Council had power derived from the statute and the byelaws made
thereunder, either to give or refuse its approval to the
foundations: to show the green light or the red. In error,
because they had carelessly done their work, they
showed the green. In my judgment he who shows the green light

in such circumstances as these, causes the consequential injury. Let me illustrate this. Let it be supposed that one side of a winding road be under repair and there be a man on duty to ensure that the traffic coming in opposite directions, is not on the road at the same time. The man on duty holds up the green flag or shows the green light or shouts, "Go on" to driver A, not observing, as he should have done, that driver B is coming in the opposite direction. Can it be doubted as a matter of common sense, that it is the man on duty who causes the damage suffered in the ensuing collision? The analogy, like most analogies, is not complete, but serves to illustrate the point. It is not complete because I have assumed no carelessness on the part of driver A, whereas in the instant case it is common ground that at the time the defendant Council illumined the green light, the builder had carelessly laid the foundations. It was, however, precisely to correct such earlier carelessness that the action of the Council was taken; and because I accept the submission that but for the Council's error the house would, on the balance of probability, never have been built upon its insecure foundations, that I accept that the act of the Council did cause the injury. In this connection, I refer to the speech of Lord Reid in Dorset Yacht Co. v. Home Office 1970 A.C. at page 1027 et seq., where he considers to what extent the law regards the acts of another person as breaking the chain of causation between the defendant's carelessness and the damage to the plaintiff, and where he concludes (page 1030) that if the intervening action - here the action of the builder - was likely to happen, it does not matter whether that action was innocent, tortious or criminal, and remarks that unfortunately, tortious or criminal action by a third party is often the "very

kind of thing" which is likely to happen as a result of the careless act of the defendant. What happened in this case was in my judgment "the very kind of thing" which was likely to happen if the defendant Council was careless.

If it be correct that the action of the defendant Council caused injury to the plaintiff, the questions which as I see it fall to be determined are, first, did the defendant Council owe a common law duty to the plaintiff not to injure the plaintiff by approving the foundations until they had taken proper steps to ensure that they were fairly laid: not to raise the green flag until they had seen that the road was clear; and, second, was the injury which the plaintiff suffered an injury for which damages can be recovered?

If some of the remarks in the speech of Lord Atkin in Donoghue v. Stevenson, 1932 A.C. 562, at page 580, were to be applied without qualification there would, I venture to think, be no difficulty in answering the questions raised. "The liability for negligence", said Lord Atkin, "whether you style it such or treat it as in other systems as a species of culpa, is no doubt based upon a general public sentiment of moral wrongdoing, for which the offender must pay. But actual omissions which any moral code would censure, cannot in a practical world be treated as to give the right to every person injured by them, to demand relief. In this way rules of law arise which limit the range of complainants and the extent of their remedy. The rule that you are to love your neighbour becomes in law, you must not injure your neighbour; and the lawyer's question, Who is my neighbour? receives a restricted reply. You must take reasonable care to avoid acts or omissions which you can reasonably foresee would be likely to injure your neighbour. Who, then, in law is my neighbour? The answer seems to be - persons who are so

closely and directly affected by my act, that I ought reasonably
to have them in contemplation as being^{so}/affected when I am
A directing my mind to the acts or omissions which are called in
question." That again is a quotation from the speech of
Lord Atkin. Persons who might become the purchaser of a house
B built upon an insecure foundation are in my judgment so closely
and directly affected by the act of a local authority in
passing or refusing to pass the foundations as secure, that
C the authority ought reasonably to have them in contemplation as
being affected when the local authority applies its mind to the
question whether it should or should not do so. It is common
ground that the defects in the foundations in the instant case
were, as they were bound to be, concealed: and no reasonable
D inspection of the property by any purchaser would disclose the
defects, which could only become manifest as the foundations
started to settle; and unless the local authority was carrying
out an academic exercise, for what other purpose, except
E primarily to protect future owners of the house, was the
exercise performed? And if this case does not fall precisely
within any other authority, the Court must have in mind what
Lord Macmillan said in a much cited passage in his speech in
F Donoghue v. Stevenson at page 619: "The grounds of action may
be as various and manifold as human errancy; and the conception
of legal responsibility may develop in adaptation to altering
social conditions and standards. The criterion of judgment must
G adjust and adapt itself to the changing circumstances of life.
The categories of negligence are never closed." If, in the
instant case, the defendant Council ought reasonably to have had
one in the position of the plaintiff in contemplation, as one
H who might be injured by what it did, I ask the rhetorical question,
why should not the local authority be liable to the plaintiff for

the injury which she has suffered?

A Of course, the passage in the speech of Lord Atkin, which
I have quoted, is not to be read literally and without regard
to the context, or, as has been said, it would comprehend
careless conduct of any kind through any means, causing damage
B of any kind, whether physical or not, to anyone who could bring
himself within the definition of a neighbour. Lord Atkin was
not formulating a complete criterion, as was indicated by Lord
Reid in the Hedley Byrne case: "The decision in Donoghue v.
C Stevenson may encourage the Courts to develop existing lines
of authority but does not entitle it to disregard them".

A host of authorities has been cited which it is submitted
inhibit this Court from concluding that the defendant Council
D was under a liability to the plaintiff. In my judgment, their
relevance depends on the view one takes of the facts of the case.
I turn in a moment to consider those principally relied on by the
defendant Council.

E In view of the course which the case took in the Court
below, Mr. Wood felt unable to contend that this is a case
where the defendant Council had a statutory duty to inspect the
foundations and accepted, as I understand it, that the Council in
F doing what it did was exercising a statutory power. If then,
as was submitted on behalf of the defendant Council, one came to
the conclusion that the Council as a result of the carelessness
of its officer, merely failed to prevent damage which had already
G happened, it would, so I think, follow, on the authority of the
decision of the House of Lords in East Suffolk Rivers Catchment
Board v. Kent 1941 A.C. 74, that here there was no liability.
H That case is authority for saying that where a statutory body in
exercise of a statutory power fails through foolish error to

remedy a damaging situation which has already occurred, it is
no more liable for the failure than if it had not exercised
the power at all. To constitute a tort, there must be a duty
owed to the plaintiff by the defendant not to cause injury and an
act of omission which causes it; and on the facts of the East
Suffolk case, the House of Lords concluded that the authority
there had not caused any injury. On the facts of this case,
however, I take the view that but for what the Council did so
carelessly, the house would, on the balance of probability, never
have been built upon the unstable foundation, and I would hold
that that careless act did cause the injury and that this is not
a case which is to be equated with one where the authority,
while endeavouring to exercise a power to cure a damaging
situation, fails to do so.

Nor in my judgment is the East Suffolk case an authority for
the proposition advanced on behalf of the Council that it would
be wrong, because it would deter statutory bodies from exercising
their functions, to hold that a Council which had no duty to
exercise a power may be in a worse position if, while endeavouring
to exercise it, it does so in a way which causes injury to the
plaintiff. So to hold would in my view ^{be} to fly in the face of the
authorities which were analysed in the East Suffolk case and
establish that although an authority exercising a power is not
liable for injury which would have been suffered had it not
exercised the power, it is liable to injury carelessly caused in
the exercise. Lord Simon in his speech in that case expressed
the view that if what was done had caused fresh damage, the
authority would have been liable for that damage. None of their
Lordships in the East Suffolk case dissented from the statement
of the law by Lord Parker in Great Central Railway v. Hewlett

1916 2 A.C. 511 at page 519: "It is undoubtedly a well settled principle of law that when statutory powers are conferred, they must be exercised with reasonable care, so that if those who exercise them could by reasonable precautions have prevented an injury which has been occasioned, and was likely to be occasioned, by their exercise, damage for negligence may be recovered."

I add only this in relation to the East Suffolk case, namely, that regarded as an authority on causation, the facts there were so very different from those in the present case, that I cannot regard it as authority to support the contention that in the instant case, the local authority cannot be regarded as having caused the injury suffered by the plaintiff. There, the event which caused the damage had already happened before the Board did that of which complaint is made. Here, as I emphasize again - and this is the basis of my judgment - the house would on the balance of probability never have been built but for the carelessness of the defendant Council.

On behalf of the defendant Council, reliance was placed on the decision of the House of Lords in Robertson v. Fleming 4 Macqueen 168, as authority for the proposition that where A does something on behalf of B for the benefit of others, including C, if as a result of the carelessness of A in the performance of his task, C loses an intended benefit which would have accrued to him had the act or service been carefully performed, C cannot recover damages against A. Accepting that Robertson v. Fleming is authority for the proposition so stated, the proposition does not in my judgment assist the defendant Council, but merely shows that I have no duty so to act as to confer an advantage on my neighbour. The proposition assumes that what C loses is an intended benefit and his position after the act of carelessness by

A, is precisely the same as it was before.

Nor can I equate the facts of the instant case with those in Hedley Byrne & Co. Ltd. v. Heller & Partners Ltd. 1964 A.C. 465, where liability for a careless misrepresentation was established. There, the liability was held to extend only in favour of one who acted in reliance on the misrepresentation; and since in the instant case the plaintiff did not rely upon the defendant, so here, it is submitted, there is no liability. But the speeches in the Hedley Byrne case extended the area of liability and did not restrict it. The speeches there are to be read with regard to the question which fell to be decided, and I cannot accept that any of their Lordships would have regarded their language as exempting from liability C, a man who having taken upon himself the task of directing the traffic, carelessly told B that the road was clear, with the result that C was injured in the ensuing collision. The distinction between the Hedley Byrne case and this case is that there there could be no damage suffered except by a person who relied upon what was done and said by the defendant, and the defendant could only have had in contemplation as someone who might be injured by his carelessness, a person who might rely upon his statement. Hence, the insistence in the speeches in the Hedley Byrne case upon the necessity for reliance by the plaintiff and proximity as a necessary ingredient of the tort. Here, on the other hand, if my approach to the facts be right, injury could be and was suffered by the plaintiff as a result of the defendant's carelessness, and she was a person so closely and directly affected by the act of the defendant that it ought reasonably to have had her in contemplation as being so affected. Accordingly, in my judgment it is not necessary for the plaintiff here to establish that the plaintiff relied upon the local authority in

order to complete her cause of action.

Reliance was also placed on such cases as Cavalier v. Pope 1906 A.C. 428, and Bottomley v. Bannister 1932 1 K.B. 458, as establishing that where injury arises from the defective state of land or of a ruinous house sold or let by the defendant who ceases to be in occupation of the property, he is not generally liable, apart from contract, unless he has acted fraudulently. It would, so the argument runs, be anomalous if the vendor who had erected the house was under no common law duty to a purchaser for injury caused by the careless way in which he or his builder had done so, but the local authority, who played no part in the construction, was nevertheless held to be liable. It is not in my view open to this Court to question the true effect of this line of authority. Nor do I see any necessity so to do in order to hold the defendant Council liable; for as a matter of logic or common sense, there is, as I see it, no reason to acquit the defendant Council of negligence because the former owner or even the builder cannot be made liable. The fact that the owner or builder of a house has no common law duty to a purchaser not to put into the market a dangerous house, would not lead to the conclusion that the local authority, taking upon itself to satisfy itself that the house is built on secure foundations, has no duty to a purchaser to carry out carefully the very task which it has set out to perform.

I now come to consider the submission advanced by Mr. Tapp to the effect that it would be an extension of the law to hold that the particular injury suffered by the plaintiff is an injury for which damages may be recovered. It is pointed out that in the past a distinction has been drawn between constructing a dangerous article and constructing one which is defective or of inferior quality. I may be liable to one who purchases in the

market a bottle of ginger beer which I have carelessly manufactured and which is dangerous and causes injury to person or property; but it is not the law that I am liable to him for the loss he suffers because what is found inside the bottle and for which he has paid money is not ginger beer but water. I do not warrant, except to an immediate purchaser, and then by the contract and not in tort, that the thing I manufacture is reasonably fit for its purpose. The submission is I think a formidable one and in my view raises the most difficult point for decision in this case. Nor can I see any valid distinction between the case of a builder who carelessly builds a house which, though not a source of danger to person or property, nevertheless owing to a concealed defect in its foundations starts to settle and crack and becomes valueless, and the case of a manufacturer who carelessly manufactures an article which, though not a source of danger to a subsequent owner or to his other property, nevertheless owing to a hidden defect quickly disintegrates. To hold that either the builder or the manufacturer was liable, except in contract would be to open up a new field of liability the extend of which could not I think be logically controlled, and since it is not in my judgment necessary to do so for the purposes of this case, I do not, more particularly because of the absence of the builder, express an opinion whether the builder has a higher or lower duty than the manufacturer. But the distinction between the case of the manufacturer of a dangerous thing which causes damage and that of a thing which turns out to be defective and valueless lies I think not in the nature of the injury but in the character of the duty. I have a duty not carelessly to put out a dangerous thing which may cause damage to one who may purchase it, but the duty does not extend to putting out carelessly a defective or useless or valueless

thing. So again one goes back to consider what was the character of the duty, if any, owed to the plaintiff, and one

A finds on authority that the injury which is one of the essential elements of the tort of negligence is not confined to physical damage to personal property but may embrace economic damage which the plaintiff suffers through buying a worthless
B thing, as is shown by the Hedley Byrne case. So the point that raises the difficulty in this case does not, as I see it, arise from the fact that the injury suffered here was the loss of the value of the house or the cost of putting it right. What causes
C the difficulty - and it is I think at this point that the Court is asked to apply the law of negligence to a new situation - is that whereas the builder had, as I will assume, no duty to the
D plaintiff not carelessly to build a house with a concealed defect, yet it is sought to impute a not dissimilar duty to the defendant Council. At this point I repeat and emphasise the difference between the position of a local authority clothed with
E the authority of an Act of Parliament to perform the function of making sure that the foundations of a house are secure for the benefit of the subsequent owners of the house and a builder who is concerned to make a profit. So approaching the matter there
F is in my judgment nothing illogical or anomalous in fixing the former with a duty to which the latter is not subject. The former by undertaking the task is in my judgment undertaking a responsibility at least as high as that which the defendant in
G the Hedley Byrne case would in the opinion of the majority in the House of Lords have undertaken had he not excluded responsibility.

H In coming to the conclusion that the situation in the instant case was what Lord Morris there called "a duty situation", I derive assistance from the conclusion of the majority in the House of Lords in the Dorset Yacht case. There, the defendant

was held liable not on the ground that it had committed a
A breach of its statutory duty, not on the ground that in
exercise of its statutory powers it had itself done an act
which caused the defendant damage, but, as here, for a careless
failure or omission while exercising its powers to prevent the
P happening of that which caused the damage.

If I am correct in my view that the defendant Council here
was, like the careless architect in Clay v. Crump 1964 1 Q.B. 533,
in control of the situation, in that it had taken upon itself to
C see whether or not the foundations were safe and that but for its
carelessness the house would not have been built, I am also
assisted to my conclusion that the defendant Council is here liable
on the authority of that case.

D I too would dismiss the appeal.

I would particularly express my satisfaction at the skill
of Counsel in leading me, however unsuccessful the journey may
have been, through what at one time seemed an impenetrable
E forest.

THE MASTER OF THE ROLLS: Then, Miss Cockburn, the appeal will be
dismissed.

F Miss COCKBURN: My Lord, I am very happy to have the appeal dismissed.
I am going to ask for the plaintiff's costs. I believe there is
some doubt about one period when Counsel appeared as amicus
curiae. I do not think I need make any special application.

G THE MASTER OF THE ROLLS: The appeal is dismissed with costs. That
must be so, Mr. Davis?

Mr DAVIS: That must be so, my Lord.

THE MASTER OF THE ROLLS: Yes.

H Mr DAVIS: May I make an application to your Lordships? That
application is for your Lordships' leave to take this matter to

the House of Lords.

A THE MASTER OF THE ROLLS: Well, Miss Cockburn, do you want to say anything about that?

Miss COCKBURN: My Lord, I would ask that this be taken to the House of Lords upon conditions -- an undertaking.

B THE MASTER OF THE ROLLS: Upon conditions. Mrs. Dutton is just by herself concerned with her house, whereas the Council may be concerned with many matters.

Miss COCKBURN: Yes.

C THE MASTER OF THE ROLLS: I think it is the sort of case where we might well do so. I do not know. Mr. Davis, have you anything to say about conditions?

D Mr DAVIS: No, my Lord. I anticipated that this application would be made by my friend. I do not seek to say that this is not a case in which conditions should be imposed. My instructions are to ask your Lordships to make such conditions with regard to the leave as your Lordships conceive to be just, and I rather visualise
E that Mrs. Dutton should not be made to bear any part of the costs of the appeal to the House of Lords. I was anticipating that your Lordships would make that condition.

F THE MASTER OF THE ROLLS: We will have a word about it.

(The Court conferred.)

G Well, Mr. Davis, if I may say so, we think the Council has taken a proper attitude in this. What we would suggest is that we, of course, give leave to appeal to the House of Lords, because it is a case of great importance; but in the special circumstances we would put on the conditions that you are not to seek to disturb the order as to costs in this Court, and also, in view of what you
H say, that you pay the costs of both sides in the House of Lords. That would seem to us to be fair in view of what the Council say.

Miss COCKBURN: I am very much obliged for that. There is a further
A matter - that I believe a payment has been made into Court of
£3,000 credited to this action. I would ask for that to be
released in regard to the situation of this house.

THE MASTER OF THE ROLLS: I do not know. If the House of Lords
B reverse our decision, she would have to pay it back, you see,
and that might be the worse for them.

Miss COCKBURN: That would not be a difficulty.

Mr DAVIS: I am in your Lordships' hands with regard to this. In
C my submission, the amount of the payment into Court should remain
in Court.

THE MASTER OF THE ROLLS: But would it not be a good thing for her to
D repair the house, and then, if you are right, she would have the
house and you will get the money back, so to speak? I am not sure
that it would not be better. At the moment all the Judges are
against you -- four Judges against you at the moment.

Mr DAVIS: My Lord, I have in fact specific instructions from the
E Council that if your Lordships see fit and thought that this was a
proper course for me to adopt, that that money should be released,
then I am instructed to agree to it.

THE MASTER OF THE ROLLS: We have just had a word about it. We
F think it should be released -- no stay of execution. If I may
say so, I would like to thank the Council for the attitude they
have taken in this case. It is a very fair one. I expect it
G is understood by you that the money really should be applied for
the repair of the house.

Mr DAVIS: Yes.

THE MASTER OF THE ROLLS: Mrs. Dutton will understand that. That is
H what the money is for, you see. Very well. The Associate
speaks about interest. The money has been in Court?

Mr DAVIS: The money has been in Court since immediately after the judgment of Mr. Justice Cusack -- the money was paid into Court.

A THE MASTER OF THE ROLLS: And it would be earning interest on the ordinary basis? Then the interest it will be earning will be the right interest?

B Mr DAVIS: That is so, I believe.

THE MASTER OF THE ROLLS: The interest that it starts earning would be the right course -- the money with interest which it has been earning. From the date of the judgment, of course, interest has

C been running; but I think we will leave that as it is: that the payment out would be only of the amount which it has in fact been earning. That would be the right thing -- money in Court together with the interest which has accrued. The judgment will follow the

D ordinary form -- judgment with statutory interest. Does that make it clear? I see the Judge awarded interest at 6%. Does that make it clear? I see the Judge awarded interest at 6% from the date of the service of the writ.

E Mr DAVIS: That is right, my Lord: the whole sum awarded by the Judge with interest was paid into Court.

THE MASTER OF THE ROLLS: Then that is all right, I think.

Mr DAVIS: If I may tell your Lordship what happened: the learned

F Judge awarded the sum of damages and interest thereon. My learned friend Mr. Rossdale, who was then appearing for the plaintiff, asked that the interest on that sum should continue

G until until the date of payment. The learned Judge refused to make that order, and said it was with interest up to the date of judgment. The payment into Court was made at the same time as the notice of appeal was filed.

H THE MASTER OF THE ROLLS: I see. So that really you have got it?

Mr DAVIS: Yes. I think the Associate would have the actual date.

LORD JUSTICE SACHS: Is this the position: that we are concerned

A with two sets of interest really: (i) to date of judgment;
(ii) with interest which has been earned since the payment was
made into Court?

Mr DAVIS: That is so, my Lord.

B THE MASTER OF THE ROLLS: I thought the money in Court with the
interest which it has earned should go to the plaintiff.

Mr DAVIS: The amount of interest up to date of judgment has
already been paid into Court. Since it was paid into Court it
C has been earning interest.

THE MASTER OF THE ROLLS: Yes. So in effect you have paid the amount
with interest up to the date of trial?

Mr DAVIS: Yes.

D THE MASTER OF THE ROLLS: And then you put in your notice of appeal
pretty quick, I think?

Mr DAVIS: I think the only period with which we are concerned
when there was no interest being earned is the period between
E the date of judgment and the date when it was paid in.

THE MASTER OF THE ROLLS: Yes, I should have thought so. For
that period there will be the statutory interest, I suppose.

F LORD JUSTICE STAMP: Has the rate of interest on the money in Court
been higher?

THE MASTER OF THE ROLLS: The judgment interest is now altered by
statute?

G Mr DAVIS: Yes.

THE MASTER OF THE ROLLS: The Associate tells me the statutory
interest was altered after the date of judgment at 4%. She
must not have it twice over. The simple thing is to order the
H money in Court to be paid over to the plaintiff together with
interest which it has earned since it has been in Court. That

A ought to cover everything. I think that, apart from the costs,
would satisfy the judgment. I do not think we need trouble about
interest any more. Although strictly payable to you, as you paid
it into Court, with your assent it will be payable directly to the
plaintiff. I think that will sort out this application for
B interest. I thank you all very much, especially the Council for
the attitude they have adopted.

Mr DAVIS: I am much obliged, my Lord.

C Order: Appeal dismissed with costs. Leave to appeal to House of
Lords upon condition that the order as to costs in the Court of
Appeal be not disturbed and that the Appellant Council pay the
costs of both sides in the House of Lords.
Payment out to the Respondent of £3,000 paid into court together
with statutory interest earned since date of payment in.

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